

Plural Macroeconomics

A Book with Multiple perspectives on economic issues, of which some topics are:

Banking industry could be doubly leveraged.

Though our banks are very well regulated, a few bank failures are back in vogue, in the US and in Europe. 2008 banking crisis had its root in unbridled lending to risky sub-prime mortgages. However, in the present disaster, some banks have failed as a result of investments in textbook recommended safest of safe assets, i.e., US treasury bonds. Why do banks fail, in spite of all the safeguards? Because, banks in our economy are leveraged twice over. The banks themselves are high-leverage entities operating within the monetary system of our economies. The monetary system of the economy is also highly leveraged.

The First leverage.

When a bank invests in the Treasury, or any other asset, its share of the Bank's capital is around 10% of its investment. Most of the money the bank sets up comes from its depositors. This is not the case for other industrial companies, where it is almost entirely sourced internally.

So, when long-term treasury bills depreciate by 20%, that's a significant loss to an industrial company that has invested in them. However, for a bank, it is catastrophic, depleting its capital to a multiple extent. This severe erosion of Treasury prices has now occurred in the U.S. The rate of return went from less than 1% in early 2020 to almost 4%, up approximately 3%. It is also a 300% rise in the interest rate. At the same time, the price of long-term bonds fell by 30%, against a backdrop of a low coupon rate post 2008.

The second leverage.

The broad money supply in the global economy grew from 50% of the global nominal GDP in 1960 to 143.5% in 2020. Broad money as a percentage of nominal GDP over years: 1960 – 50, 1970 – 57.3, 1980 – 63.8, 1990 – 87.9, 2000 – 99.2, 2010 – 107.6 & 2020 – 143.5. All the figures of money supply above are from the World Bank data. This means that we needed \$ 143.5 of broad money in

the economy for the economy to generate \$ 100 in nominal GDP over one year (2020). Only \$50 were needed in 1960 per \$100 nominal GDP over the year.

When we talk about the percentage of nominal GDP, inflation, the absolute value of the currency, and economic growth are all factored in. We are comparing two identical apples, not apples to oranges. Imagine, your blood glucose or blood pressure is three times the normal, and shall continue to rise for the conceivable future; you are definitely headed for a road crash.

This relentless relative increase in the demand for broad money from the economy clearly demonstrates a structural flaw of the economy. Banks, being at the pinnacle of this doubly leveraged circus, are inadvertently designed to collapse, and a few will. There's no way around it.

I have discussed in my book – Plural Macroeconomics, both of these leverages, at length, and attempted to draft a solution. First, we need to know that the present calamity in the banking sector is the continuation of the 2008 crisis. Post 2008, the US and most other economies adopted lenient monetary policy.

The Federal Reserve of the United States has tried several times to "normalize" the monetary system, post 2008, by tightening the money supply or by raising the interest rates. However, with severe market reactions, it had to mend its ways and fall back on a looser monetary policy. Clearly, pre-2008 toxicity in the system has not dissipated yet. With high inflation and the Banking crisis hitting the world economy together. Presently, the Federal Reserve and many central banks are in a catch-22 situation.

Market driven regulation of banking risks.

In my book Plural Macroeconomics, I have sketched a self-balancing mechanism for banking regulation. The banking sector should consist of two sets of entities. The first one is that of pure banking. These organisations would take deposits from the public

and provide all the banking transactions. However, they shall bear no risks. They will lend to the public, against physical and financial assets and shall quote an interest rate depending entirely on the repayment schedule.

We need an entirely different body of credit insurance companies, which assess and insure every loan separately. Now, these guarantees by credit insurers have to be backed by individuals or entities by pledging their real or financial assets. The credit insurance company quotes an interest rate, beyond that of the bank, individually, depending on each of the loan accounts. The vanilla banking institution has to service the loan.

The credit insurance company pays a portion of its interest income to individual underwriters as a dividend for their risk-taking. Now, the individual asset that has been pledged to the credit insurance company, cannot be pledged to obtain a loan. Thus, the assets pledged in the economy are divided into groups, one for obtaining advances, and the other for securing them.

If a loan account goes bad, the credit insurance company and the guarantors have to bear the loss. It creates a self-regulatory equilibrium in the credit market. When there is more demand for loans, there will be increased demand for insurance-guaranteeing assets, driving up the lending rate. Now let us look at the second leverage. I can only explain the solution to the second leverage in a sketchy manner, as I have to delve into both monetary theory and fiscal policy in detail.

How can we amend our Monetary Theory?

We need to inspect and fine tune our monetary theory to find a solution to today's macroeconomic problems. To begin with, the velocity of money is a misnomer, it does not measure money flows within the economy. The velocity of money is only the ratio between nominal GDP and the quantity of money. This table below charts the two different perspectives of money in micro and macro circumstances.